followed towards treating the balance of IGST in the CFI at the end of the financial year. In 2017–18, the IGST balance, a large amount of Rs 1.77 lakh crore, was treated as the Centre's receipt and a share of 42 per cent was transferred to the states on the pattern of transfer of the share of states in central taxes. In 2018–19, most of the IGST was divided between the Centre and the states during the course of the year and only a small amount of Rs 28,947 crore remained as balance in the CFI. This amount was neither divided between the Centre and the states nor was a 42 per cent share transferred to the states.

The Compensation Cess balance at the end of the year is required to be transferred to the Public Account as per the provisions of the Compensation Cess Act and rules made thereunder. As far as budgeting/accounting of the GST Compensation Cess is concerned, the entire gross receipt of the cess is treated as tax revenue receipt in the budgets/accounts of the Government of India. The amount to be transferred to the states to pay the Compensation Cess is budgeted on the expenditure side as 'Other Transfers'.

After the CAG objected to this system of accounting and distribution of IGST revenue, the entire IGST revenues are distributed every month. There was no balance of IGST revenues in the Government of India outstanding on 31 March 2020.

The complications in the accounting of Compensation Cess got resolved by the fact that the availability of GST Compensation Cess turned out to be much lower than required in financial year 2019–20. All the unspent balances of the previous two years got used in paying compensation for the shortfall of 2019–20. In fact, the government used part of the Compensation Cess revenues accrued in 2020–21 to pay for the compensation dues of 2019–20.